



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2946: municipalities; counties; development fees

POWELL FLOOR AMENDMENT

1. Deletes language relating to allowing a developer to elect when to pay the development fees and prohibiting the municipality from requiring payment at an earlier time than elected.
2. Restores language dictating when the developer must pay development fees.
3. Adds a cap to the amount of total development fees that are assessed on the development of a detached accessory dwelling unit for all necessary public services other than water and wastewater.
4. Removes language relating to prohibiting a municipality from increasing any water or wastewater rate to fund new infrastructure unless the rate complies with statutory requirements.
5. Adds that a municipality is prohibited from increases any water or wastewater rate unless, for the portion of a water or wastewater fee that is adopted or increased after December 31, 2026, to fund capital improvements to water or wastewater facilities that serve new growth, the municipality adopts growth-related fees as prescribed by statute.
6. Makes clarifying changes.

ADDITIONAL COW
POWELL FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2946
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.
~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 9-463.05, Arizona Revised Statutes, is amended
3 to read:

4 9-463.05. Development fees; imposition by cities and towns;
5 infrastructure improvements plan; annual report;
6 advisory committee; limitation on actions;
7 definitions

8 A. A municipality may assess development fees to offset costs to
9 the municipality associated with providing necessary public services to a
10 development, including the costs of infrastructure, improvements, real
11 property, engineering and architectural services, financing and
12 professional services required for the preparation or revision of a
13 development fee pursuant to this section, including the relevant portion
14 of the infrastructure improvements plan.

15 B. Development fees assessed by a municipality under this section
16 are subject to the following requirements:

17 1. Development fees shall result in a beneficial use to the
18 development.

19 2. The municipality shall calculate the development fee based on
20 the infrastructure improvements plan adopted pursuant to this section.

21 3. The development fee shall not exceed a proportionate share of
22 the cost of necessary public services, based on service units, needed to
23 provide necessary public services to the development.

24 4. Costs for necessary public services made necessary by new
25 development shall be based on the same level of service provided to
26 existing development in the service area.

27 5. Development fees may not be used for any of the following:

1 (a) Construction, acquisition or expansion of public facilities or
2 assets other than necessary public services or facility expansions
3 identified in the infrastructure improvements plan.

4 (b) Repair, operation or maintenance of existing or new necessary
5 public services or facility expansions.

6 (c) Upgrading, updating, expanding, correcting or replacing
7 existing necessary public services to serve existing development in order
8 to meet stricter safety, efficiency, environmental or regulatory
9 standards.

10 (d) Upgrading, updating, expanding, correcting or replacing
11 existing necessary public services to provide a higher level of service to
12 existing development.

13 (e) Administrative, maintenance or operating costs of the
14 municipality.

15 6. Any development for which a development fee has been paid is
16 entitled to the use and benefit of the services for which the fee was
17 imposed and is entitled to receive immediate service from any existing
18 facility with available capacity to serve the new service units if the
19 available capacity has not been reserved or pledged in connection with the
20 construction or financing of the facility.

21 7. Development fees may be collected if any of the following
22 occurs:

23 (a) The collection is made to pay for a necessary public service or
24 facility expansion that is identified in the infrastructure improvements
25 plan and the municipality plans to complete construction and to have the
26 service available within the time period established in the infrastructure
27 ~~improvement~~ IMPROVEMENTS plan, but in no event longer than the time period
28 provided in subsection ~~H~~ I, paragraph 3 of this section.

29 (b) The municipality reserves in the infrastructure improvements
30 plan adopted pursuant to this section or otherwise agrees to reserve
31 capacity to serve future development.

32 (c) The municipality requires or agrees to allow the owner of a
33 development to construct or finance the necessary public service or
34 facility expansion and any of the following ~~apply~~ APPLIES:

35 (i) The costs incurred or money advanced are credited against or
36 reimbursed from the development fees otherwise due from a development.

37 (ii) The municipality reimburses the owner for those costs from the
38 development fees paid from all developments that will use those necessary
39 public services or facility expansions.

40 (iii) For those costs incurred the municipality allows the owner to
41 assign the credits or reimbursement rights from the development fees
42 otherwise due from a development to other developments for the same
43 category of necessary public services in the same service area.

44 8. Projected interest charges and other finance costs may be
45 included in determining the amount of development fees only if the monies
46 are used for the payment of principal and interest on the portion of the

1 bonds, notes or other obligations issued to finance construction of
2 necessary public services or facility expansions identified in the
3 infrastructure improvements plan.

4 9. Monies received from development fees assessed pursuant to this
5 section shall be placed in a separate fund and accounted for separately
6 and may only be used for the purposes authorized by this section. Monies
7 received from a development fee identified in an infrastructure
8 improvements plan adopted or updated pursuant to subsection D of this
9 section shall be used to provide the same category of necessary public
10 services or facility expansions for which the development fee was assessed
11 and for the benefit of the same service area, as defined in the
12 infrastructure improvements plan, in which the development fee was
13 assessed. Interest earned on monies in the separate fund shall be credited
14 to the fund.

15 10. The schedule for payment of fees shall be provided by the
16 municipality. Based on the cost identified in the infrastructure
17 improvements plan, the municipality shall provide a credit toward the
18 payment of a development fee for the required or agreed to dedication of
19 public sites, improvements and other necessary public services or facility
20 expansions included in the infrastructure improvements plan and for which
21 a development fee is assessed, to the extent the public sites,
22 improvements and necessary public services or facility expansions are
23 provided by the developer. The developer of residential dwelling units
24 [shall be required to pay development fees when construction permits for
25 the dwelling units are issued, or at a later time if specified in a
26 development agreement pursuant to section 9-500.05. If a development
27 agreement provides for fees to be paid at a time later than the issuance
28 of construction permits, the deferred fees shall be paid no later than
29 fifteen days after the issuance of a certificate of occupancy. The
30 development agreement shall provide for the value of any deferred fees to
31 be supported by appropriate security, including a surety bond, letter of
32 credit or cash bond]~~[, INCLUDING MULTIFAMILY RESIDENTIAL DWELLING UNITS,~~
33 ~~MAY ELECT TO PAY DEVELOPMENT FEES AT THE TIME THE CONSTRUCTION PERMIT IS~~
34 ~~ISSUED OR MAY ELECT TO DEFER PAYMENT OF THE DEVELOPMENT FEES TO WHEN THE~~
35 ~~CERTIFICATE OF OCCUPANCY IS ISSUED. IF THE DEVELOPER ELECTS TO DEFER~~
36 ~~PAYMENT OF THE DEVELOPMENT FEES FOR NOT MORE THAN FIFTEEN DAYS AFTER THE~~
37 ~~CERTIFICATE OF OCCUPANCY IS ISSUED, THE MUNICIPALITY SHALL ALLOW THE~~
38 ~~DEFERRED PAYMENT OF THE DEVELOPMENT FEES IF THE DEVELOPER PROVIDES~~
39 ~~SECURITY IN AN AMOUNT EQUAL TO THE DEFERRED DEVELOPMENT FEES. THE~~
40 ~~SECURITY PROVIDED BY THE DEVELOPER MAY BE IN THE FORM OF A SURETY BOND,~~
41 ~~LETTER OF CREDIT OR CASH BOND. A MUNICIPALITY MAY NOT REQUIRE A~~
42 ~~DEVELOPMENT AGREEMENT PURSUANT TO SECTION 9-500.05 AS A CONDITION OF~~
43 ~~ALLOWING DEFERRED PAYMENT OF DEVELOPMENT FEES. A MUNICIPALITY MAY NOT~~
44 ~~REQUIRE A DEVELOPER TO PAY DEVELOPMENT FEES EARLIER THAN THE TIME ELECTED~~
45 ~~BY THE DEVELOPER PURSUANT TO THIS PARAGRAPH].~~

1 11. If a municipality requires as a condition of development
2 approval the construction or improvement of, contributions to or
3 dedication of any facilities that were not included in a previously
4 adopted infrastructure improvements plan, the municipality shall cause the
5 infrastructure improvements plan to be amended to include the facilities
6 and shall provide a credit toward the payment of a development fee for the
7 construction, improvement, contribution or dedication of the facilities to
8 the extent that the facilities will substitute for or otherwise reduce the
9 need for other similar facilities in the infrastructure improvements plan
10 for which development fees were assessed.

11 12. The municipality shall forecast the contribution to be made in
12 the future in cash or by taxes, fees, assessments or other sources of
13 revenue derived from the property owner towards the capital costs of the
14 necessary public service covered by the development fee and shall include
15 these contributions in determining the extent of the burden imposed by the
16 development. ~~Beginning August 1, 2014,~~ For purposes of calculating the
17 required offset to development fees pursuant to this subsection, if a
18 municipality imposes a construction contracting or similar excise tax rate
19 in excess of the percentage amount of the transaction privilege tax rate
20 imposed on the majority of other transaction privilege tax
21 classifications, the entire excess portion of the construction contracting
22 or similar excise tax shall be treated as a contribution to the capital
23 costs of necessary public services provided to development for which
24 development fees are assessed, unless the excess portion was already taken
25 into account for such purpose pursuant to this subsection.

26 13. If development fees are assessed by a municipality, the fees
27 shall be assessed against commercial, residential and industrial
28 development. ~~, except that~~ The municipality may distinguish between
29 different categories of residential, commercial and industrial development
30 in assessing the costs to the municipality of providing necessary public
31 services to new development and in determining the amount of the
32 development fee applicable to the category of development, ~~EXCEPT THAT THE~~
33 ~~MUNICIPALITY MAY NOT DISTINGUISH BETWEEN [SINGLE-FAMILY] RESIDENTIAL~~
34 ~~DEVELOPMENTS ON THE BASIS OF THE SIZE OF THE RESIDENTIAL DWELLING UNIT OR~~
35 ~~NUMBER OF BEDROOMS.~~ If a municipality agrees to waive any of the
36 development fees assessed on a development, the municipality shall
37 reimburse the appropriate development fee accounts for the amount that was
38 waived. The municipality shall provide notice of any such waiver to the
39 advisory committee established pursuant to subsection ~~G~~ H of this section
40 within thirty days.

41 14. In determining and assessing a development fee applying to land
42 in a community facilities district established under title 48, chapter 4,
43 article 6, the municipality shall take into account all public
44 infrastructure provided by the district and capital costs paid by the
45 district for necessary public services and shall not assess a portion of
46 the development fee based on the infrastructure or costs.

1 C. A municipality shall give at least thirty days' advance notice
2 of intention to assess a development fee and shall release to the public
3 and post on its website or the website of an association of cities and
4 towns if a municipality does not have a website a written report of the
5 land use assumptions and infrastructure improvements plan adopted pursuant
6 to subsection D of this section. The municipality shall conduct a public
7 hearing on the proposed development fee at any time after the expiration
8 of the thirty day notice of intention to assess a development fee and at
9 least thirty days before the scheduled date of adoption of the fee by the
10 governing body. Within sixty days after the date of the public hearing on
11 the proposed development fee, a municipality shall approve or disapprove
12 the imposition of the development fee. A municipality shall not adopt an
13 ordinance, order or resolution approving a development fee as an emergency
14 measure. A development fee assessed pursuant to this section shall not be
15 effective until seventy-five days after its formal adoption by the
16 governing body of the municipality. Nothing in this subsection shall
17 affect any development fee adopted before July 24, 1982.

18 D. Before the adoption or amendment of a development fee, the
19 governing body of the municipality shall adopt or update the land use
20 assumptions and infrastructure improvements plan for the designated
21 service area. The municipality shall conduct a public hearing on the land
22 use assumptions and infrastructure improvements plan at least thirty days
23 before the adoption or update of the plan. The municipality shall release
24 the plan to the public, post the plan on its website or the website of an
25 association of cities and towns if the municipality does not have a
26 website, including in the posting its land use assumptions, the time
27 period of the projections, a description of the necessary public services
28 included in the infrastructure improvements plan and a map of the service
29 area to which the land use assumptions apply, make available to the public
30 the documents used to prepare the assumptions and plan and provide public
31 notice at least sixty days before the public hearing, subject to the
32 following:

33 1. The land use assumptions and infrastructure improvements plan
34 shall be approved or disapproved within sixty days after the public
35 hearing on the land use assumptions and infrastructure improvements plan
36 and at least thirty days before the public hearing on the report required
37 by subsection C of this section. A municipality shall not adopt an
38 ordinance, order or resolution approving the land use assumptions or
39 infrastructure improvements plan as an emergency measure.

40 2. An infrastructure improvements plan shall be developed by
41 qualified professionals using generally accepted engineering and planning
42 practices pursuant to subsection E of this section.

43 3. A municipality shall update the land use assumptions and
44 infrastructure improvements plan at least every five years. The initial
45 five year period begins on the day the infrastructure improvements plan is
46 adopted. The municipality shall review and evaluate its current land use

1 assumptions and shall cause an update of the infrastructure improvements
2 plan to be prepared pursuant to this section.

3 4. Within sixty days after completion of the updated land use
4 assumptions and infrastructure improvements plan, the municipality shall
5 schedule and provide notice of a public hearing to discuss and review the
6 update and shall determine whether to amend the assumptions and plan.

7 5. A municipality shall hold a public hearing to discuss the
8 proposed amendments to the land use assumptions, the infrastructure
9 improvements plan or the development fee. The land use assumptions and
10 the infrastructure improvements plan, including the amount of any proposed
11 changes to the development fee per service unit, shall be made available
12 to the public on or before the date of the first publication of the notice
13 of the hearing on the amendments.

14 6. The notice and hearing procedures prescribed in paragraph 1 of
15 this subsection apply to a hearing on the amendment of land use
16 assumptions, an infrastructure improvements plan or a development fee.
17 Within sixty days after the date of the public hearing on the amendments,
18 a municipality shall approve or disapprove the amendments to the land use
19 assumptions, infrastructure improvements plan or development fee. A
20 municipality shall not adopt an ordinance, order or resolution approving
21 the amended land use assumptions, infrastructure improvements plan or
22 development fee as an emergency measure.

23 7. The advisory committee established under subsection ~~G~~ H of this
24 section shall file its written comments on any proposed or updated land
25 use assumptions, infrastructure improvements plan and development fees
26 before the fifth business day before the date of the public hearing on the
27 proposed or updated assumptions, plan and fees.

28 8. If, at the time an update as prescribed in paragraph 3 of this
29 subsection is required, the municipality determines that no changes to the
30 land use assumptions, infrastructure improvements plan or development fees
31 are needed, the municipality may as an alternative to the updating
32 requirements of this subsection publish notice of its determination on its
33 website and include the following:

34 (a) A statement that the municipality has determined that no change
35 to the land use assumptions, infrastructure improvements plan or
36 development fee is necessary.

37 (b) A description and map of the service area in which an update
38 has been determined to be unnecessary.

39 (c) A statement that by a specified date, which shall be at least
40 sixty days after the date of publication of the first notice, a person may
41 make a written request to the municipality requesting that the land use
42 assumptions, infrastructure improvements plan or development fee be
43 updated.

44 (d) A statement identifying the person or entity to whom the
45 written request for an update should be sent.

1 9. If, by the date specified pursuant to paragraph 8 of this
2 subsection, a person requests in writing that the land use assumptions,
3 infrastructure improvements plan or development fee be updated, the
4 municipality shall cause, accept or reject an update of the assumptions
5 and plan to be prepared pursuant to this subsection.

6 10. Notwithstanding the notice and hearing requirements for
7 adoption of an infrastructure improvements plan, a municipality may amend
8 an infrastructure improvements plan adopted pursuant to this section
9 without a public hearing if the amendment addresses only elements of
10 necessary public services in the existing infrastructure improvements plan
11 and the changes to the plan will not, individually or cumulatively with
12 other amendments adopted pursuant to this subsection, increase the level
13 of service in the service area or cause a development fee increase of
14 greater than five ~~per cent~~ PERCENT when a new or modified development fee
15 is assessed pursuant to this section. The municipality shall provide
16 notice of any such amendment at least thirty days before adoption, shall
17 post the amendment on its website or on the website of an association of
18 cities and towns if the municipality does not have a website and shall
19 provide notice to the advisory committee established pursuant to
20 subsection ~~G~~ H of this section that the amendment complies with this
21 subsection.

22 E. For each necessary public service that is the subject of a
23 development fee, the infrastructure improvements plan shall include:

24 1. A description of the existing necessary public services in the
25 service area and the costs to upgrade, update, improve, expand, correct or
26 replace those necessary public services to meet existing needs and usage
27 and stricter safety, efficiency, environmental or regulatory standards,
28 which shall be prepared by qualified professionals licensed in this state,
29 as applicable.

30 2. An analysis of the total capacity, the level of current usage
31 and commitments for usage of capacity of the existing necessary public
32 services, which shall be prepared by qualified professionals licensed in
33 this state, as applicable.

34 3. A description of all or the parts of the necessary public
35 services or facility expansions and their costs necessitated by and
36 attributable to development in the service area based on the approved land
37 use assumptions, including a forecast of the costs of infrastructure,
38 improvements, real property, financing, engineering and architectural
39 services, which shall be prepared by qualified professionals licensed in
40 this state, as applicable.

41 4. A table establishing the specific level or quantity of use,
42 consumption, generation or discharge of a service unit for each category
43 of necessary public services or facility expansions and an equivalency or
44 conversion table establishing the ratio of a service unit to various types
45 of land uses, including residential, commercial and industrial.

1 5. The total number of projected service units necessitated by and
2 attributable to new development in the service area based on the approved
3 land use assumptions and calculated pursuant to generally accepted
4 engineering and planning criteria.

5 6. The projected demand for necessary public services or facility
6 expansions required by new service units for a period not to exceed ten
7 years.

8 7. A forecast of revenues generated by new service units other than
9 development fees, which shall include estimated state-shared revenue,
10 highway ~~users~~ **USER** revenue, federal revenue, ad valorem property taxes,
11 construction contracting or similar excise taxes and the capital recovery
12 portion of utility fees attributable to development based on the approved
13 land use assumptions, and a plan to include these contributions in
14 determining the extent of the burden imposed by the development as
15 required in subsection B, paragraph 12 of this section.

16 F. A municipality's development fee ordinance shall provide that a
17 new development fee or an increased portion of a modified development fee
18 ~~shall not be assessed against a development for twenty-four months after~~
19 ~~the date that the municipality issues the final approval for a commercial,~~
20 ~~industrial or multifamily development or the date that the first building~~
21 ~~permit is issued for a residential development pursuant to an approved~~
22 ~~site plan or subdivision plat, provided that no subsequent changes are~~
23 ~~made to the approved site plan or subdivision plat that would increase the~~
24 ~~number of service units.~~ A **RESIDENTIAL, COMMERCIAL, INDUSTRIAL OR**
25 **MULTIFAMILY DEVELOPMENT FOR TWENTY-FOUR MONTHS AFTER THE EFFECTIVE DATE OF**
26 **THE DEVELOPMENT FEE ORDINANCE THAT IMPOSES A NEW OR INCREASED DEVELOPMENT**
27 **FEE IF NO SUBSEQUENT CHANGES ARE MADE TO THE APPROVED SITE PLAN [OR FINAL**
28 **SUBDIVISION PLAT] THAT [INCREASES] [INCREASE] THE NUMBER OF SERVICE**
29 **UNITS.** If the number of service units increases, the new or increased
30 portion of a modified development fee shall be limited to the amount
31 attributable to the additional service units. The twenty-four month
32 period shall not be extended by a renewal or amendment of the site plan or
33 the final subdivision plat that was the subject of the final approval.

34 G. The municipality shall issue, on request, a written statement of
35 the development fee schedule applicable to the development. If, after the
36 date of the municipality's final approval of a development, the
37 municipality reduces the development fee assessed on development, the
38 reduced fee shall apply to the development.

39 ~~G.~~ H. A municipality shall do one of the following:

40 1. Before the adoption of proposed or updated land use assumptions,
41 infrastructure improvements plan and development fees as prescribed in
42 subsection D of this section, the municipality shall appoint an
43 infrastructure improvements advisory committee, subject to the following
44 requirements:

45 (a) The advisory committee shall be composed of at least five
46 members who are appointed by the governing body of the municipality. At

1 least fifty ~~per cent~~ PERCENT of the members of the advisory committee must
2 be representatives of the real estate, development or building industries,
3 of which at least one member of the committee must be from the home
4 building industry. Members shall not be employees or officials of the
5 municipality.

6 (b) The advisory committee shall serve in an advisory capacity and
7 shall:

8 (i) Advise the municipality in adopting land use assumptions and in
9 determining whether the assumptions are in conformance with the general
10 plan of the municipality.

11 (ii) Review the infrastructure improvements plan and file written
12 comments.

13 (iii) Monitor and evaluate implementation of the infrastructure
14 improvements plan.

15 (iv) Every year file reports with respect to the progress of the
16 infrastructure improvements plan and the collection and expenditures of
17 development fees and report to the municipality any perceived inequities
18 in implementing the plan or imposing the development fee.

19 (v) Advise the municipality of the need to update or revise the
20 land use assumptions, infrastructure improvements plan and development
21 fee.

22 (c) The municipality shall make available to the advisory committee
23 any professional reports with respect to developing and implementing the
24 infrastructure improvements plan.

25 (d) The municipality shall adopt procedural rules for the advisory
26 committee to follow in carrying out the committee's duties.

27 2. In lieu of creating an advisory committee pursuant to paragraph
28 1 of this subsection, provide for a biennial certified audit of the
29 municipality's land use assumptions, infrastructure improvements plan and
30 development fees. An audit pursuant to this paragraph shall be conducted
31 by one or more qualified professionals who are not employees or officials
32 of the municipality and who did not prepare the infrastructure
33 improvements plan. The audit shall review the progress of the
34 infrastructure improvements plan, including the collection and
35 expenditures of development fees for each project in the plan, and
36 evaluate any inequities in implementing the plan or imposing the
37 development fee. The municipality shall post the findings of the audit on
38 the municipality's website or the website of an association of cities and
39 towns if the municipality does not have a website and shall conduct a
40 public hearing on the audit within sixty days of the release of the audit
41 to the public.

42 ~~H.~~ I. On written request, an owner of real property for which a
43 development fee has been paid after July 31, 2014 is entitled to a refund
44 of a development fee or any part of a development fee if:

45 1. Pursuant to subsection B, paragraph 6 of this section, existing
46 facilities are available and service is not provided.

1 2. The municipality has, after collecting the fee to construct a
2 facility when service is not available, failed to complete construction
3 within the time period identified in the infrastructure improvements plan,
4 but in no event later than the time period specified in paragraph 3 of
5 this subsection.

6 3. For a development fee other than a development fee for water or
7 wastewater facilities, any part of the development fee is not spent as
8 authorized by this section within ten years after the fee has been paid
9 or, for a development fee for water or wastewater facilities, any part of
10 the development fee is not spent as authorized by this section within
11 fifteen years after the fee has been paid.

12 ~~I.~~ J. If the development fee was collected for the construction of
13 all or a portion of a specific item of infrastructure, and on completion
14 of the infrastructure the municipality determines that the actual cost of
15 construction was less than the forecasted cost of construction on which
16 the development fee was based and the difference between the actual and
17 estimated cost is greater than ten ~~percent~~ PERCENT, the current owner may
18 receive a refund of the portion of the development fee equal to the
19 difference between the development fee paid and the development fee that
20 would have been due if the development fee had been calculated at the
21 actual construction cost.

22 ~~J.~~ K. A refund shall include any interest earned by the
23 municipality from the date of collection to the date of refund on the
24 amount of the refunded fee. All refunds shall be made to the record owner
25 of the property at the time the refund is paid. If the development fee is
26 paid by a governmental entity, the refund shall be paid to the
27 governmental entity.

28 ~~K.~~ L. A development fee that was adopted before January 1, 2012
29 may continue to be assessed only to the extent that it will be used to
30 provide a necessary public service for which development fees can be
31 assessed pursuant to this section and shall be replaced by a development
32 fee imposed under this section on or before August 1, 2014. Any
33 municipality having a development fee that has not been replaced under
34 this section on or before August 1, 2014 shall not collect development
35 fees until the development fee has been replaced with a fee that complies
36 with this section. Any development fee monies collected before January 1,
37 2012 remaining in a development fee account:

38 1. Shall be used towards the same category of necessary public
39 services as authorized by this section.

40 2. If development fees were collected for a purpose not authorized
41 by this section, shall be used for the purpose for which they were
42 collected on or before January 1, 2020, and after which, if not spent,
43 shall be distributed equally among the categories of necessary public
44 services authorized by this section.

1 ~~L.~~ M. A moratorium shall not be placed on development for the sole
2 purpose of awaiting completion of all or any part of the process necessary
3 to develop, adopt or update development fees.

4 ~~M.~~ N. In any judicial action interpreting this section, all powers
5 conferred on municipal governments in this section shall be narrowly
6 construed to ensure that development fees are not used to impose on new
7 residents a burden all taxpayers of a municipality should bear equally.

8 ~~N.~~ O. Each municipality that assesses development fees shall
9 submit an annual report accounting for the collection and use of the fees
10 for each service area. The annual report shall include the following:

11 1. The amount assessed by the municipality for each type of
12 development fee.

13 2. The balance of each fund maintained for each type of development
14 fee assessed as of the beginning and end of the fiscal year.

15 3. The amount of interest or other earnings on the monies in each
16 fund as of the end of the fiscal year.

17 4. The amount of development fee monies used to repay:

18 (a) Bonds issued by the municipality to pay the cost of a capital
19 improvement project that is the subject of a development fee assessment,
20 including the amount needed to repay the debt service obligations on each
21 facility for which development fees have been identified as the source of
22 funding and the time frames in which the debt service will be repaid.

23 (b) Monies advanced by the municipality from funds other than the
24 funds established for development fees in order to pay the cost of a
25 capital improvement project that is the subject of a development fee
26 assessment, the total amount advanced by the municipality for each
27 facility, the source of the monies advanced and the terms under which the
28 monies will be repaid to the municipality.

29 5. The amount of development fee monies spent on each capital
30 improvement project that is the subject of a development fee assessment
31 and the physical location of each capital improvement project.

32 6. The amount of development fee monies spent for each purpose
33 other than a capital improvement project that is the subject of a
34 development fee assessment.

35 ~~O.~~ P. Within ninety days following the end of each fiscal year,
36 each municipality shall submit a copy of the annual report to the city
37 clerk and post the report on the municipality's website or the website of
38 an association of cities and towns if the municipality does not have a
39 website. Copies shall be made available to the public on request. The
40 annual report may contain financial information that has not been audited.

41 ~~P.~~ Q. A municipality that fails to file the report and post the
42 report on the municipality's website or the website of an association of
43 cities and towns if the municipality does not have a website as required
44 by this section shall not collect development fees until the report is
45 filed and posted.

1 ~~R.~~ R. Any action to collect a development fee shall be commenced
2 within two years after the obligation to pay the fee accrues.

3 ~~R.~~ S. A municipality may continue to assess a development fee
4 adopted before January 1, 2012 for any facility that was financed before
5 June 1, 2011 if:

6 1. Development fees were pledged to repay debt service obligations
7 related to the construction of the facility.

8 2. After August 1, 2014, any development fees collected under this
9 subsection are used solely for the payment of principal and interest on
10 the portion of the bonds, notes or other debt service obligations issued
11 before June 1, 2011 to finance construction of the facility.

12 ~~S.~~ T. Through August 1, 2014, a development fee adopted before
13 January 1, 2012 may be used to finance construction of a facility and may
14 be pledged to repay debt service obligations if:

15 1. The facility that is being financed is a facility that is
16 described under subsection ~~F~~ V, paragraph 7, subdivisions (a) through ~~(g)~~
17 (e) of this section.

18 2. The facility was included in an infrastructure improvements plan
19 adopted before June 1, 2011.

20 3. The development fees are used for the payment of principal and
21 interest on the portion of the bonds, notes or other debt service
22 obligations issued to finance construction of the necessary public
23 services or facility expansions identified in the infrastructure
24 ~~improvement~~ IMPROVEMENTS plan.

25 U. A MUNICIPALITY MAY ASSESS DEVELOPMENT FEES FOR WATER AND
26 WASTEWATER NECESSARY PUBLIC SERVICES ON THE DEVELOPMENT OF ~~[AN]~~ [A
27 DETACHED] ACCESSORY DWELLING UNIT IF THE ADDITION OF ONE OR MORE
28 DETACHED ACCESSORY DWELLING UNITS WOULD HAVE REQUIRED INSTALLING A
29 LARGER UTILITY METER HAD THE ADDITIONAL ACCESSORY DWELLING UNIT OR UNITS
30 BEEN CONSTRUCTED CONCURRENTLY WITH THE PRIMARY DWELLING UNIT ~~[AND THE]~~
31 [WITH A] SHARED UTILITY METER. THE PROPORTIONATE SHARE OF THE DEVELOPMENT
32 FEE FOR WATER AND WASTEWATER SHALL BE THE DIFFERENCE BETWEEN THE CURRENT
33 FEE-PER-METER SIZE FOR THE PRIMARY DWELLING UNIT AND THE LARGER SIZE THAT
34 IS NECESSARY TO ACCOMMODATE THE DEVELOPMENT OF THE DETACHED ACCESSORY
35 DWELLING UNIT OR UNITS. [THE TOTAL DEVELOPMENT FEES ASSESSED ON THE
36 DEVELOPMENT OF A DETACHED ACCESSORY DWELLING UNIT FOR ALL NECESSARY PUBLIC
37 SERVICES OTHER THAN WATER AND WASTEWATER SHALL NOT EXCEED THE LESSER OF
38 TWENTY PERCENT OF THE TOTAL DEVELOPMENT FEES FOR THOSE SAME NECESSARY
39 PUBLIC SERVICES APPLICABLE TO A SINGLE-FAMILY HOME OR THE DETACHED
40 ACCESSORY DWELLING UNIT'S PROPORTIONATE SHARE OF THOSE FEES AS PRESCRIBED
41 BY SUBSECTION B, PARAGRAPH 3 OF THIS SECTION.] FOR THE PURPOSES OF THIS
42 SUBSECTION, "ACCESSORY DWELLING UNIT" HAS THE SAME MEANING PRESCRIBED IN
43 SECTION 9-461.18.

44 ~~F.~~ V. For the purposes of this section:

- 1 1. "Dedication" means the actual conveyance date or the date an
2 improvement, facility or real or personal property is placed into service,
3 whichever occurs first.
- 4 2. "Development" means:
- 5 (a) The subdivision of land.
- 6 (b) The construction, reconstruction, conversion, structural
7 alteration, relocation or enlargement of any structure that adds or
8 increases the number of service units.
- 9 (c) Any use or extension of the use of land that increases the
10 number of service units.
- 11 3. "Facility expansion" means the expansion of the capacity of an
12 existing facility that serves the same function as an otherwise new
13 necessary public service in order that the existing facility may serve new
14 development. Facility expansion does not include the repair, maintenance,
15 modernization or expansion of an existing facility to better serve
16 existing development.
- 17 4. "Final approval" means:
- 18 (a) For a nonresidential or multifamily development, the approval
19 of a site plan or, if no site plan is submitted for the development, the
20 approval of a final subdivision plat.
- 21 (b) For a single family residential development, the approval of a
22 final subdivision plat.
- 23 5. "Infrastructure improvements plan" means a written plan that
24 identifies each necessary public service or facility expansion that is
25 proposed to be the subject of a development fee and otherwise complies
26 with the requirements of this section, and may be the municipality's
27 capital improvements plan.
- 28 6. "Land use assumptions" means projections of changes in land
29 uses, densities, intensities and population for a specified service area
30 over a period of at least ten years and pursuant to the general plan of
31 the municipality.
- 32 7. "Necessary public service" means any of the following facilities
33 that have a life expectancy of three or more years and that are owned and
34 operated by or on behalf of the municipality:
- 35 (a) Water facilities, including the supply, transportation,
36 treatment, purification and distribution of water, and any appurtenances
37 for those facilities.
- 38 (b) Wastewater facilities, including collection, interception,
39 transportation, treatment and disposal of wastewater, and any
40 appurtenances for those facilities.
- 41 (c) ~~Storm water~~ STORMWATER, drainage and flood control facilities,
42 including any appurtenances for those facilities.
- 43 (d) Library facilities of up to ten thousand square feet that
44 provide a direct benefit to development, not including equipment, vehicles
45 or appurtenances.

1 (e) Street facilities located in the service area, including
2 arterial or collector streets or roads that have been designated on an
3 officially adopted plan of the municipality, traffic signals and
4 rights-of-way and improvements thereon.

5 (f) Fire and police facilities, including all appurtenances,
6 equipment and vehicles. Fire and police facilities do not include a
7 facility or portion of a facility that is used to replace services that
8 were once provided elsewhere in the municipality, vehicles and equipment
9 used to provide administrative services, helicopters or airplanes or a
10 facility that is used for training firefighters or officers from more than
11 one station or substation.

12 (g) Neighborhood parks and recreational facilities on real property
13 up to thirty acres in area, or parks and recreational facilities larger
14 than thirty acres if the facilities provide a direct benefit to the
15 development. Park and recreational facilities do not include vehicles,
16 equipment or that portion of any facility that is used for amusement
17 parks, aquariums, aquatic centers, auditoriums, arenas, arts and cultural
18 facilities, bandstand and orchestra facilities, bathhouses, boathouses,
19 clubhouses, community centers greater than three thousand square feet in
20 floor area, environmental education centers, equestrian facilities, golf
21 course facilities, greenhouses, lakes, museums, theme parks, water
22 reclamation or riparian areas, wetlands, zoo facilities or similar
23 recreational facilities, but may include swimming pools.

24 (h) Any facility that was financed and that meets all of the
25 requirements prescribed in subsection ~~R~~ S of this section.

26 8. "Qualified professional" means a professional engineer,
27 surveyor, financial analyst or planner providing services within the scope
28 of the person's license, education or experience.

29 9. "Service area":

30 (a) Means any specified area within the boundaries of a
31 municipality in which development will be served by necessary public
32 services or facility expansions and within which a substantial nexus
33 exists between the necessary public services or facility expansions and
34 the development being served as prescribed in the infrastructure
35 improvements plan.

36 (b) INCLUDES THE SERVICE TERRITORY OF WATER OR WASTEWATER
37 FACILITIES, WHETHER INSIDE OR OUTSIDE OF THE BOUNDARIES OF THE
38 MUNICIPALITY, IF THE MUNICIPALITY PROVIDES WATER AND WASTEWATER SERVICES.

39 10. "Service unit" means a standardized measure of consumption,
40 use, generation or discharge attributable to an individual unit of
41 development calculated pursuant to generally accepted engineering or
42 planning standards for a particular category of necessary public services
43 or facility expansions.

44 <<Sec. 2. Section 9-499.15, Arizona Revised Statutes, is amended to
45 read:

1 9-499.15. Proposed new or increased municipal taxes and fees;
2 notification; exceptions

3 A. A municipality may not levy or assess any new taxes or fees or
4 increase existing taxes or fees pursuant to statute on a business without
5 complying with this section.

6 B. A municipality that proposes to levy or assess a tax or fee
7 shall:

8 1. Prepare a schedule of the proposed new or increased tax or fee
9 that includes the amount of the tax or fee and a written report or data
10 that supports the new or increased tax or fee. A copy of the report or
11 data shall be filed in the office of the clerk of the municipality.

12 2. If the proposed tax or fee is a new charge, provide written
13 notice of the proposed charge, the schedule of the proposed new charge and
14 the written report or data that supports the new charge on the home page
15 of the municipality's website at least sixty days before the date the
16 proposed new tax or fee is approved or rejected by the governing body of
17 the municipality.

18 3. If the municipality proposes to increase the rate of an existing
19 tax or fee on a business, provide written notice of the proposed increase,
20 the schedule of the proposed increased tax or fee and the written report
21 or data that supports the proposed increased tax or fee on the home page
22 of the municipality's website at least sixty days before the date the
23 proposed new rate is approved or rejected by the governing body of the
24 municipality.

25 4. Prepare a notice of intent to establish or increase taxes,
26 assessments or fees[,] including assessments levied pursuant to section
27 48-572, subsection B, paragraph 2. The notice of intent shall include the
28 date, time and place of the meeting of the governing body of the
29 municipality in which the proposed new or increased tax or fee will be
30 considered and a statement that a schedule of the proposed new or
31 increased tax or fee that includes the amount of the tax or fee and a
32 written report or data that supports the new or increased tax or fee is
33 available on the municipality's website. The notice of intent shall be
34 posted on the municipality's website at least fifteen days before the date
35 the proposed new or increased tax or fee will be approved or rejected by
36 the governing body of the municipality. If the municipality uses social
37 media or other electronic communication tools, the notice of intent shall
38 be distributed through the municipality's social media accounts or other
39 electronic communication tools.

40 C. At least seventy-five days before the date a municipality
41 proposes an ordinance to adopt or repeal a model or local option in the
42 model city tax code, the municipality shall request from the department of
43 revenue a list of all taxpayers within the municipality in the affected
44 tax classification. At least sixty days before the date the proposed
45 ordinance is approved or rejected by the governing body of the

1 municipality, the municipality shall notify by mail all taxpayers in the
2 affected tax classification of the proposed ordinance.

3 D. Subsection C of this section does not apply to ordinances that
4 do either of the following:

5 1. Impose a use tax or a model or local option to exempt a city or
6 town from use tax.

7 2. Impose a two-tiered tax rate structure for retail sales.

8 E. All departments, boards or other subdivisions of a municipality
9 that are authorized to establish or modify taxes or fees shall follow the
10 notice requirements prescribed in subsection B of this section before the
11 date of the entity's consideration of the new or increased tax or fee.

12 F. Technological issues that either prevent the posting of the
13 notice on the municipality's website or distribution of the notice through
14 social media or other electronic communication tools do not preclude the
15 governing body of the municipality from approving or rejecting the new or
16 increased tax or fee at the meeting provided on the notice of intent.

17 G. A municipality shall demonstrate that the taxes or fees are
18 imposed pursuant to statute.

19 H. Subsections A and B of this section do not apply to:

20 1. Any fee adopted pursuant to section 9-463.05.

21 2. Water and wastewater rates[. FEES] or rate components [THAT ARE
22 ADOPTED PURSUANT TO SECTION 9-511.01].

23 3. Fees for registration-based classes, programs or activities
24 provided by the municipality.

25 4. Court fees established pursuant to state law.

26 5. Fees or charges established pursuant to federal law for public
27 housing or other federally funded programs.

28 6. Other fees whose amounts are set by state or federal law.

29 I. If information is made available relating to the fees provided
30 in subsection H of this section, that information shall be posted on the
31 municipality's website and, if the municipality uses social media or other
32 electronic communication tools, distributed through social media or other
33 electronic communication tools.

34 J. In addition to any other limitation that may be imposed by law,
35 a municipality shall not levy or impose an assessment, fee or tax on
36 hospital revenues, discharges, beds or services for the purpose of
37 receiving services or payments pursuant to title 36, chapter 29.>>

38 Sec. 3. Section 9-511.01, Arizona Revised Statutes, is amended to
39 read:

40 9-511.01. Water and wastewater business; rates; procedures;
41 responsibility for payments

42 A. A municipality engaging in a domestic water or wastewater
43 business shall not increase any water or wastewater rate or rate
44 component, fee or service charge without complying with the following:

45 1. Prepare a written report or supply data supporting the increased
46 rate or rate component, fee or service charge. The report or supporting

1 data shall include cash flow projections that indicate all anticipated
2 revenues from residential and nonresidential customers and the overall
3 expenses for providing water or wastewater service. A copy of the report
4 and cash flow projections shall be made available to the public by filing
5 a copy in the office of the clerk of the municipality governing board and
6 posting the report and cash flow projections on the municipality's website
7 or the website of an association of cities and towns if the municipality
8 does not have a website at least thirty days before the public hearing
9 described in paragraph 2 of this subsection.

10 2. Adopt a notice of intention by motion at a regular council
11 meeting to increase water or wastewater rates or rate components, fees or
12 service charges and set a date for a public hearing on the proposed
13 increase that shall be held at least sixty days after adoption of the
14 notice of intention. A copy of the notice of intention showing the date,
15 time and place of the hearing shall be published one time in a newspaper
16 of general circulation within the boundaries of the municipality not less
17 than twenty days before the public hearing date.

18 ~~[3. ANY WATER OR WASTEWATER RATE, RATE COMPONENT, FEE OR SERVICE~~
19 ~~CHARGE ASSESSED TO FUND NEW INFRASTRUCTURE OR CAPITAL IMPROVEMENTS SHALL~~
20 ~~COMPLY WITH THE REQUIREMENTS PRESCRIBED IN SECTION 9-463.05.]~~

21 ~~[3. FOR THE PORTION OF A WATER OR WASTEWATER FEE THAT IS ADOPTED OR~~
22 ~~INCREASED AFTER DECEMBER 31, 2026 TO FUND CAPITAL IMPROVEMENTS TO WATER OR~~
23 ~~WASTEWATER FACILITIES THAT SERVE NEW GROWTH, ADOPT GROWTH-RELATED FEES AS~~
24 ~~PRESCRIBED BY SECTION 9-463.05.]~~

25 B. After holding the public hearing, the governing body may adopt,
26 by ordinance or resolution, the proposed rate or rate component, fee or
27 service charge increase or any lesser increase.

28 C. Notwithstanding section 19-142, subsection B, the increased rate
29 or rate component, fee or service charge shall become effective thirty
30 days after adoption of the ordinance or resolution.

31 D. Any proposed water or wastewater rate or rate component, fee or
32 service charge adjustment or increase shall be just and reasonable.

33 E. Rates and charges demanded or received by municipalities for
34 water and wastewater service shall be just and reasonable. Every unjust
35 or unreasonable rate or charge demanded or received by a municipality is
36 prohibited and unlawful.

37 F. A municipality may not assess or collect a fee on new water or
38 wastewater service connections at the time of the establishment of service
39 to those connections for the purpose of recovering the municipality's
40 costs of acquiring, whether by purchase or by eminent domain, the utility
41 plant, facilities, system or other property of a public service
42 corporation or another municipality engaged in the business of providing
43 water or wastewater service. This subsection does not apply to water or
44 wastewater fees adopted before January 1, 2016 or to water or wastewater
45 fees included in a notice of intent to adopt or increase water or
46 wastewater rates and fees adopted before January 1, 2016.

1 G. For residential property of four or fewer units, a municipality
2 shall not require payment of unpaid water and wastewater service rates and
3 charges by anyone other than the person who the municipality has
4 contracted with to provide the service, who physically resides or resided
5 at the property and who receives or received the service. A property
6 owner, an immediate family member of the person who does not reside at the
7 property or any other entity, at its sole discretion, may contract for
8 water and wastewater service with a municipality and shall provide
9 payment.

10 H. For residential property of four or fewer units, a municipality
11 shall not refuse service within the municipality's service area for the
12 unpaid water and wastewater rates and charges to anyone other than the
13 person who physically resided and received the service at the property. A
14 property owner, at the owner's sole discretion, may contract for water and
15 wastewater service with a municipality and shall provide payment for that
16 service.

17 Enroll and engross to conform
18 Amend title to conform

KHYL POWELL

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